25900341 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular EXAMINATION October 2025

Third SEMESTER

Discipline Specific Core Course (DSC) - MG3DSCECO200 - MICROECONOMICS - I

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Question

Answer all questions

Each question carries **1** marks

1. Revealed Preference theory assumes [K] / [CO1]

   a). Weak ordering b). Strong ordering

   c). Constant ordering d). Multiple ordering

2. The equilibrium of the producer is attained when …….. [A] / [CO2]

   a). Isoquant is tangent to isocost b). Isoquant cuts isocost

   c). Isoquant is above isocost d). Isoquant is parallel to isocost

3. Which analysis is an example of weak ordering? [K] / [CO1]

   a). Utility analysis b). Demand analysis

   c). Supply analysis d). Indifference curve analysis

4. At the minimum point of the average cost curve (AC), the marginal cost (MC) is: [U] / [CO2]

a). Greater than AC b). Less than AC

c). Equal to AC d). Unrelated to AC

5. An income effect causes a change in demand when: [U] / [CO1]

a). The price of the good itself changes b). The price of a related good changes

c). The consumer's real income changes d). A change in consumer tastes occurs

6. MRTS is the ratio of …….. [U] / [CO2]

a). Consumption of two goods b). Prices of inputs

c). Marginal products of inputs d). None of these

7. Monopolist’s equilibrium is where: [K] / [CO3]

a). MR = MC b). AR = AC

c). TR = TC d). AC = MC

8. Which of the following is a concept related to selling a product at a lower price in a foreign market than in the domestic market? [K] / [CO1, CO2, CO3, CO4]

a). Price discrimination b). Dumping

c). Skimmed pricing d). Linear expenditure

9. Linear expenditure system developed by [K] / [CO1, CO2, CO3, CO4]

a). Milton Friedman b). Joan Robinson

c). Richard Stone d). Raymond Vernon

10. Ridge lines indicate …… [U] / [CO2]

a). Maximum profit zone b). Economic region of production

c). Iso-revenue lines d). Producer’s loss region

[1x10 = 10]

Part B

Short Answer

Answer any **10** questions

Each question carries **3** marks

11.	What are the conditions of consumer equilibrium in ordinal analysis ?	[U] / [CO1]
12.	Write any three properties of an isoquant.	[A] / [CO2]
13.	State the condition for the shutdown decision of a firm in the short run under perfect competition.	[K] / [CO3]
14.	Define Cartel. Explain the primary objective of a cartel.	[U] / [CO4]
15.	Explain why long-run equilibrium in a perfectly competitive market eliminates both supernormal profit and loss.	[U] / [CO3]
16.	What is imperfect competiton?	[U] / [CO1, CO2, CO3, CO4]
17.	Explain the concept of Optimal Input Combination. Write two conditions required to achieve it.	[U] / [CO2]
18.	Why is monopoly considered less efficient than perfect competition?	[An] / [CO3]
19.	How does excess capacity becomes a waste?	[U] / [CO1, CO2, CO3, CO4]
20.	State the reason behind the convexity of an indifference curve .	[U] / [CO1]
21.	Write a note on giffen paradox .	[U] / [CO1]
22.	Describe the Economic Region of Production.	[U] / [CO2]
23.	What is price discrimination under a monopoly?	[U] / [CO1, CO2, CO3, CO4]
24.	Discuss the different types of oligopoly.	[K] / [CO4]
25.	Explain the new approaches in consumer theory.	[A] / [CO1, CO2, CO3, CO4]

[3x10 = 30]

Part C

Short Essay

Answer any **5** questions

Each question carries **6** marks

26.	Discuss the limitations of indifference curve approach?	[U] / [CO1]

27. Illustrate and analyze the relationship between Average Cost (AC) and Marginal Cost (MC) using a diagram. [An] / [CO2]

28. With diagram, explain how industry supply curve is derived in perfect competition. [A] / [CO3]

29. Discuss how New Welfare Economics different from traditional Welfare Economics [U] / [CO4]

30. Explain the concept of an isocost line. Show with an example how a change in input price shifts the line. [A] / [CO2]

31. Draw a budget line and explain its importance . [U] / [CO1]

32. Evaluate the importance of the concept of ‘reserve capacity’ in modern cost theory. How does it alter the shape of the short-run cost curves? [E] / [CO2]

33. Bring out the differences between monopoly and monopsony. [An] / [CO3]

34. Analyse the role of bargaining power in determining price and output under bilateral monopoly. [An] / [CO3]

35. What will be the changes in income consumption curve ,if the income of a person increases ? [U] / [CO1]

[6x5 = 30]